IOWN

The Morning Brief

APRIL 2, 2026

Pattern Holds

Trump's primetime address reverses the two-day ceasefire rally as oil surges and futures slide into Thursday.

S&P 500	BRENT CRUDE	BITCOIN	S&P FUTURES	FEAR & GREED
6,575 ↑0.72%	~$108 ↑6.3% overnight	~$66,500 ↓2.9%	↓1.3% Thu AM	12 · Extreme Fear

SECTION 01

Markets

TWO DAYS OF HOPE MEET NINETEEN MINUTES OF REALITY

Wednesday extended Tuesday's relief rally as the S&P 500 closed at 6,575, up 0.72%, and the Nasdaq gained 1.24%. Industrials led (+1.67%) and tech continued its rebound (+1.51%), while energy fell 3.74% as ceasefire expectations drove a two-day crude oil decline. IUSG outperformed DVY by 1.6 percentage points—the second consecutive session of growth leading dividend value. Then, at 9 PM ET, President Trump addressed the nation on Operation Epic Fury. Rather than announcing the ceasefire framework that the prior two sessions had been pricing, he warned that the US would continue to strike Iran with extreme force over the next two to three weeks and threatened Iranian power infrastructure if no deal is reached. S&P 500 futures fell 1.29% overnight, Nasdaq futures dropped 1.59%, and Dow futures slid approximately 540 points. Brent crude surged 6.3% to approximately $108, erasing its two-day decline. The pattern the prior brief identified—that the rally was built on what Trump said, not on what Iran agreed to—has repeated.

THE OVERNIGHT DAMAGE IS GLOBAL

Asian markets sold off sharply after the speech. South Korea's Kospi fell approximately 4.5%, Japan's Nikkei declined approximately 2.4%, and India's Nifty 50 opened down 1.38%, according to CNBC. The 10-year Treasury yield rose 5 basis points to 4.37%. Gold reversed Wednesday's 1.75% gain, falling 2.5% to approximately $4,690 as the dollar index rose 0.5%. WTI crude jumped 6.4% to approximately $107. Bitcoin retreated from ~$68,500 to approximately $66,500 overnight. The VIX closed at 24.54 on Wednesday, down 3.4% during the session, but is positioned to gap significantly higher at Thursday's open. Bank of America economists now project oil remaining at $100 per barrel through the remainder of 2026, which would sustain the inflationary pressure that has constrained the Fed for months.

ISM PRICES AT 78.3 — THE STAGFLATION REPORT

March ISM Manufacturing registered 52.7—the third consecutive month of expansion and the highest reading since August 2022. But the headline masks the tension beneath. The Prices Index surged 7.8 points to 78.3, its highest level since June 2022, driven by steel and aluminum tariffs and petroleum costs from the Middle East conflict. The ISM noted that the Prices Index has risen 19.3 points in the last two months. Employment contracted for the 30th consecutive month at 48.7. The ISM report captures the stagflation dynamic in a single release: output expanding, costs accelerating, and manufacturers unable to hire. For IOWN, the pricing pressure flows directly through to the industrial sleeve—CAT (+3.09%), STLD (+1.58%), and PCAR (+1.86%) all benefited from Wednesday's expansion reading, but margin compression from raw material costs remains the medium-term risk if oil sustains these levels.

COMPRESSED CALENDAR — PAYROLLS ARRIVE WHILE MARKETS SLEEP

ADP reported 62,000 private sector jobs added in March, exceeding the 40,000 consensus, with education and health services (+58,000) the primary driver. But the report that matters—March nonfarm payrolls—arrives Friday at 8:30 AM ET while the NYSE is closed for Good Friday. The BLS has confirmed the April 3 release date. The Wall Street consensus is 59,000 following February's 92,000 contraction. Whatever the number reveals, the market's reaction will be entirely deferred to Monday morning—which is also April 6, the date Trump has signaled energy strikes could resume. Two catalysts converging on a single opening bell, with no opportunity to adjust positioning over the weekend.

S&P 500	**6,575 · ↑0.72% Wed · Futures ↓1.3% Thu AM**
BRENT CRUDE	**~$108 · ↑6.3% overnight · Two-day decline erased**
ISM PRICES	**78.3 · ↑7.8 pts · Highest since Jun 2022**
10Y YIELD	**4.37% · ↑5bps overnight**
VIX	**24.54 Wed · Likely to gap higher at open**
FEAR & GREED	**12 · Extreme Fear**

Tuesday's brief identified the risk precisely: the rally was built on what Trump said, not on what Iran agreed to. The speech confirmed the gap. What persists through the noise is the portfolio's construction—dividend names that generate cash through the cycle, gold miners that benefit from the uncertainty itself, and the discipline to distinguish between a news cycle and a thesis. Think Like an Owner.

SECTION 02

Geopolitics

OPERATION EPIC FURY — ESCALATION FRAMED AS VICTORY

In a 19-minute primetime address, Trump cast the Iran campaign as an extraordinary military achievement, describing the destruction of Iran's navy, air force, and nuclear infrastructure, according to NPR. He stated that core strategic objectives were nearing completion. But the operative language pointed in a different direction: the US would continue to strike Iran with extreme force over the coming weeks, and if no deal is reached, power plants and civilian infrastructure could be targeted. Oil prices rose nearly 4% during the speech itself. Thirteen US service members have died and 348 have been wounded, according to Pentagon figures. Trump acknowledged that gasoline prices have risen more than 30% since the war began, per CNBC, but promised prices would decline rapidly once the conflict ends. The market read the speech as continuation, not conclusion.

IRAN DENIES CEASEFIRE REQUEST — DIPLOMATIC WINDOW NARROWS

Despite Trump's morning claim on Truth Social that Iran's president had requested a ceasefire, Foreign Minister Araghchi told Al Jazeera that Tehran is not seeking a ceasefire and that no negotiations are underway. A senior Iranian source told Reuters that Iran would accept only a guaranteed permanent end to the war, not a temporary cessation. The China-Pakistan five-point initiative from earlier this week remains on the table, but no face-to-face talks have been arranged. Pakistan's foreign minister traveled to Beijing at China's invitation, per Bloomberg, suggesting the multilateral framework continues to develop. But the gap between Washington and Tehran has widened rather than narrowed over the past 48 hours. The diplomatic track that appeared to be leading the military track on Tuesday has stalled.

MULTIPLE FRONTS COMPLICATE ANY RESOLUTION

Israel continues operations against Hezbollah in Lebanon, where more than 1,300 people have been killed and over one million displaced since early March, according to CNN. The Strait of Hormuz remains effectively closed to most commercial shipping. The conflict's expansion across multiple theaters—Iran proper, Lebanon, Gulf shipping lanes—makes a single ceasefire framework increasingly difficult to construct. For the portfolio, the multi-front dynamic suggests the energy premium is unlikely to unwind quickly even if a bilateral US-Iran arrangement materializes. IOWN's energy names (CVX –4.59%, VLO –2.27%, OKE –3.35%) sold off Wednesday on ceasefire hopes that have since evaporated; those positions may regain ground at Thursday's open as oil surges back.

TRUMP SPEECH	**Threatened extreme force · No ceasefire timeline**
IRAN RESPONSE	**Denies ceasefire request · No active negotiations (Araghchi)**
OIL REACTION	**Brent ~$108 · ↑6.3% overnight · War premium restored**
US CASUALTIES	**13 killed · 348 wounded (Pentagon)**
APRIL 6	**Energy strike deadline · NFP reaction · Monday convergence**

SECTION 03

On Our Radar

1. Thursday is the last trading session before Monday's triple catalyst. Markets close for Good Friday tomorrow. March payrolls release Friday morning with no equity market to react. Trump's April 6 energy strike deadline arrives Monday. The portfolio enters a three-day gap carrying significant event risk with no ability to adjust positioning. For IOWN, this is not a session for tactical moves—it is a session to verify that the construction can absorb the range of Monday outcomes. Avoid Erosion.

2. ISM Prices at 78.3 and Brent back near $108 harden the stagflation case. The Prices Index has risen 19.3 points in two months to its highest level since June 2022. The Fed's dual mandate problem intensifies: inflation driven by supply-side energy costs that monetary policy cannot address, and a manufacturing labor market that has contracted for 30 consecutive months. Markets are now pricing zero rate cuts from the Fed for the remainder of 2026. Rate-sensitive IOWN holdings (NEE, BKH, ATO) face continued pressure if the market prices out all remaining easing expectations. Research Reveals Opportunities.

3. Gold miners continue to outperform through the volatility. GFI surged 6.01% and AEM gained 3.50% on Wednesday, extending the gold sleeve's leadership. Spot gold reached approximately $4,720 before retreating overnight on dollar strength to roughly $4,690. J.P. Morgan's year-end target of $6,300 represents approximately 33% upside from current levels. The gold thesis is working as constructed: when equities sell off on geopolitical risk, gold and miners tend to provide portfolio-level ballast. **The physical world matters.**

4. SpaceX filed confidentially for an IPO, targeting a June listing at a potential $1.75 trillion valuation. The filing, reported by CNBC and Bloomberg, triggered a broad space-sector rally on Wednesday—Rocket Lab (+6.9%), Planet Labs (+11.55%), Intuitive Machines (+12.17%). SpaceX's Starlink division generated over $10 billion in 2025 revenue. While SpaceX is not an IOWN holding, the filing signals that the AI infrastructure investment cycle is broadening from chips to physical deployment—a theme aligned with IOWN's core thesis around physical-world assets. Simplicity Over Complexity.

5. March nonfarm payrolls arrive on Good Friday: consensus 59,000 following February's 92,000 contraction. A significant miss could shift the Fed conversation toward accommodation despite elevated inflation. A strong surprise would ease recession concerns but remove the remaining rate-cut case entirely. Either outcome resets the macro narrative—and the market will not be open to price it until Monday morning. IOWN's dividend sleeve (ADP, FAST, SYK) tends to hold up well through labor market uncertainty given the cash-generative nature of these businesses. Think Like an Owner.

For internal IOWN investment committee use only. Not investment advice. Information from public sources believed reliable. Past performance not indicative of future results. IOWN is an RIA under Paradiem.